

# Welcome to Financial Institutions and Markets

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## TODAY'S PLAN

Introduction to Module Handbook and Blackboard Page  
Overview of the Financial System

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WELCOME

Posted on the day 23 September 2024 12:04:02 edited 08/10/24

Dear Students,

We are excited to welcome you to the Financial Institutions and Markets module for the 2024-2025 academic year. This module will provide you with a solid foundation in understanding how national and international financial systems operate, equipping you with valuable knowledge available for your future careers. So, we embark on this journey together, here are some important points to help you prepare for our first session:

- Our first class is scheduled for Thursday, October 3rd, 2024, in room 4012. Please double-check this information against your personal timetable.
- Before coming to class, please download the Hightail app. You will use this app to receive your assignments during the module sessions.
- The module handbook is now available on our Blackboard page under the "Module Information" section. Please take some time to review it thoroughly as it contains crucial information about the course structure, assessments, and expectations.
- Also located under the "Module Information" section on Blackboard, the module schedule provides a week-by-week breakdown of our topics and activities. Familiarizing yourself with this will help you plan ahead.
- We have completed a meeting for the module. You can find this on Blackboard under "Readings & Resources Section". Getting a head start on some of the readings will greatly enhance your learning experience.

If you have any questions or concerns before our first session, please don't hesitate to reach out by e-mail (check out the Contact Information in "The module Information" section). We're here to support your learning journey.

We look forward to meeting you all on October 3rd!

Best regards,  
Dr. Armand Gasi

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Visit all the sections on the left menu, check out the Module Handbook and all other useful information

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## Overview of the Financial System

### Outline

1. Function and Importance of Financial System
2. Structure of Financial Markets
3. Function of Financial Intermediaries: Indirect Finance
4. Types of Financial Intermediaries

Reading for this week (on the reading list)  
Chapter 2 from Mishkin's "Financial Markets and Institutions"

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## Function of a Financial System

Suppose you want to start a sustainable food truck business, but you have no funds .

Who would you borrow it from?

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## Function of a Financial System

You managed to save £10,000 working over the summers. Where would you keep/invest your money?

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## Function of a Financial System

- If you save £10,000, but there is no financial system, then you would not earn any return on it
  - might as well put the money under your mattress
- If someone who wants to start a food truck business needs to borrow, then they might be willing to pay you some interest for the use of the funds.

What potential risks or challenges might arise from engaging in this kind of financial activity ?

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Function of Financial System

Financial system channels funds from those without investment opportunities to those with them .

Savers lend money

- 1. Households
- 2. Firms
- 3. Government
- 4. Foreigners

Spenders borrow money

- 1. Firms
- 2. Government
- 3. Households
- 4. Foreigners.

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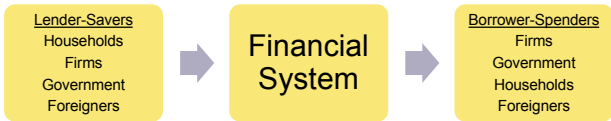
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Flow of funds through the Financial System  
(simple version)



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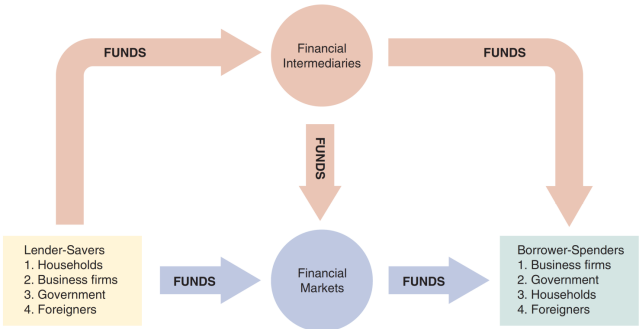
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Flows of Funds through the Financial System



This semester, the module will focus on financial intermediaries  
Next semester, the focus will be on financial markets.

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## Importance of Financial Markets

- Financial markets are critical for an efficient allocation of funds, allowing funds to move from people who lack productive investment opportunities to people who have them .
- Financial markets also improve the well-being of consumers, allowing them to time their purchases better.

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## Structure of Financial Markets

1. Debt Markets
  - Pay interest
  - Products are loans (government bonds, corporate bonds...etc)
2. Equity Markets
  - Pay dividends
  - Products are shares and represent an ownership claim in the firm (stock market).

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## Structure of Financial Markets

1. Primary Market
  - New security issues sold to initial buyers
  - Typically involves an investment bank who underwrites the offering
2. Secondary Market
  - Securities previously issued are bought and sold  
e.g., London Stock Exchange, New York Stock Exchange, etc.

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Structure of Financial Markets

We can also classify markets by the maturity of the securities:

- 1. Money Market: Short-Term (maturity < 1 year)
- 2. Capital Market: Long-Term (maturity > 1 year) plus equities (no maturity).

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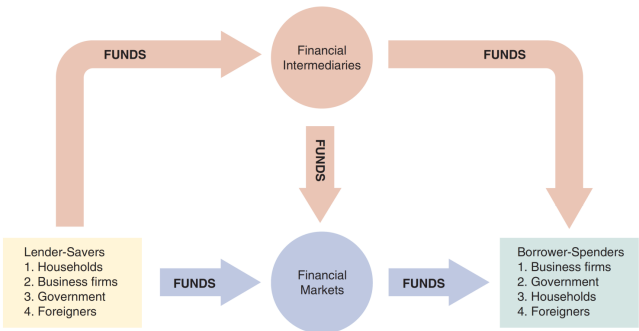
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Flows of Funds through the Financial System.



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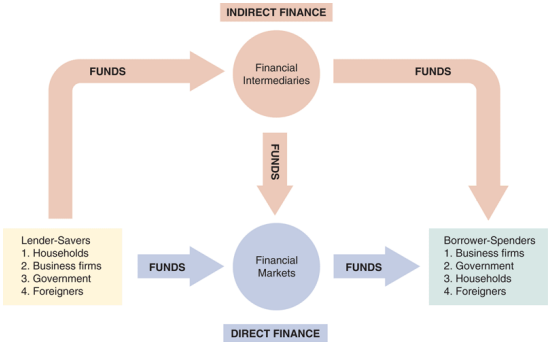
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The top part of the figure—indirect finance



The arrows show that funds flow from lender-savers to borrower-spenders via two routes: *direct finance*, in which borrowers borrow funds directly from financial markets by selling securities, and *indirect finance*, in which a financial intermediary borrows funds from lender-savers and then uses these funds to make loans to borrower-spenders.

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Function of Financial Intermediaries:  
Indirect Finance

- In major developed countries (The US, the UK, Canada, Japan, Italy, Germany, and France), majority of business funding is indirect (through financial intermediaries)
- Financial intermediaries are preferred because of
  - Lower transaction costs,
  - risk sharing,
  - asymmetric information

We will further explore these functions and benefits NEXT WEEK.

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Side note: Assets and Liabilities

- An asset is a resource with economic value with the expectation that it will provide a future benefit
  - Money in the bank, property, car, machinery.....
- Main types are short-term assets, long-term (fixed) assets, financial assets and intangible assets
- A liability is a resource that is owed to somebody else
  - Loans, etc
- Main types of liabilities are short term (to be paid in less than a year) and long-term liabilities (longer than a year).

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Side note: Assets and Liabilities of FI

A balance sheet is a financial statement that reports a company's assets, liabilities, and shareholder equity (owner's own capital)

A typical farm's balance sheet looks like this:

| Balance Sheet         |                   |                    |                   |
|-----------------------|-------------------|--------------------|-------------------|
| <b>Fixed Assets</b>   |                   | <b>Equity</b>      |                   |
| Production rights     | \$ 2,000          | Farmer Claire      | \$ 65,000         |
| Land                  | \$ 18,000         |                    |                   |
| Barn                  | \$ 22,000         | <b>Liabilities</b> |                   |
| Farm machinery        | \$ 15,000         | Loan Agribank      | \$ 33,000         |
| Shares                | \$ 2,000          | Accounts payable   | \$ 2,000          |
| Dairy cows            | \$ 18,000         |                    |                   |
| <b>Current Assets</b> |                   |                    |                   |
| Stocks                | \$ 5,000          |                    |                   |
| Accounts receivable   | \$ 8,000          |                    |                   |
| Bank account          | \$ 10,000         |                    |                   |
| <b>Total</b>          | <b>\$ 100,000</b> | <b>Total</b>       | <b>\$ 100,000</b> |

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Side note: Assets and Liabilities of FI

A typical bank balance sheet looks like this:

| ASSETS               | LIABILITIES          |
|----------------------|----------------------|
| Loans                | Deposits             |
| Mortgages            |                      |
| Consumer Loans       |                      |
| Lending to companies |                      |
| Other Assets         | Shareholders' equity |
| Real estate          |                      |
| Bank accounts        |                      |

Note the main difference about where loans and bank accounts belong

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4. Types of Financial Intermediaries



- Depository Institutions (BANKS)** accept deposits and make loans.
- 1. Commercial banks
    - Raise funds primarily through current and savings account deposits, which are used to make commercial, consumer and mortgage loans
    - Commercial banks comprise the largest financial intermediary and have the most diversified asset portfolios
  - 2. Building Societies (in the UK), thrifts, savings & loan associations in the US, credit unions also raise funds primarily collecting current deposits which are most often used to make mortgage and consumer loans,
    - They issue deposits as shares and are owned collectively by their depositors.

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4. Types of Financial Intermediaries



- Non-depository institutions (NON-BANKS)** come in two types:
- 1. **Contractual Savings Institutions** acquire funds from clients at periodic intervals on a contractual basis and have predictable future payout requirements
    - Insurance Companies receive funds from policy premiums, and invest them
    - Pension Funds receive funds through employee and employer payroll contributions, invest them.

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4. Types of Financial Intermediaries



- Non-depository institutions (NON-BANKS) come in two types:
2. Investment Companies
- Unit trusts in the UK/ Mutual Funds in the US: acquire funds by selling shares to individual investors and use the proceeds to purchase large, diversified portfolios of stocks and bonds
  - Hedge Funds are a type of mutual fund requiring large investments, long holding periods, and are subject to few regulations
  - Investment Banks (sometimes referred as Merchant Banks in the UK): advise companies on securities to issue, underwriting security offerings, offer M&A assistance, and act as dealers in security markets.

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Primary Assets and Liabilities of Financial Intermediaries

| Type of Intermediary                       | Primary Liabilities<br>(Sources of Funds) | Primary Assets<br>(Uses of Funds)            |
|--------------------------------------------|-------------------------------------------|----------------------------------------------|
| Depository Institutions                    |                                           |                                              |
| Commercial banks                           | Deposits                                  | Business and consumer loans, mortgages       |
| Building Societies, thrifts, credit unions | Deposits                                  | Mortgages<br>Consumer loans                  |
| Non-depository institutions                |                                           |                                              |
| Insurance companies                        | Premiums from policies                    | Corporate bonds and mortgages                |
| Pension funds                              | Employer and employee contributions       | Corporate bonds and stock                    |
| Mutual funds (unit trusts)                 | Shares                                    | Stocks, bonds                                |
| Hedge funds                                | Partnership participation                 | Stocks, bonds, loans, foreign currencies.... |

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Summary

- Function of Financial System: We examined the flow of funds through the financial system and the role of intermediaries in this process.
- Types of Financial Intermediaries: We outlined the numerous types of financial intermediaries to be further examined in the rest of this term.

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